

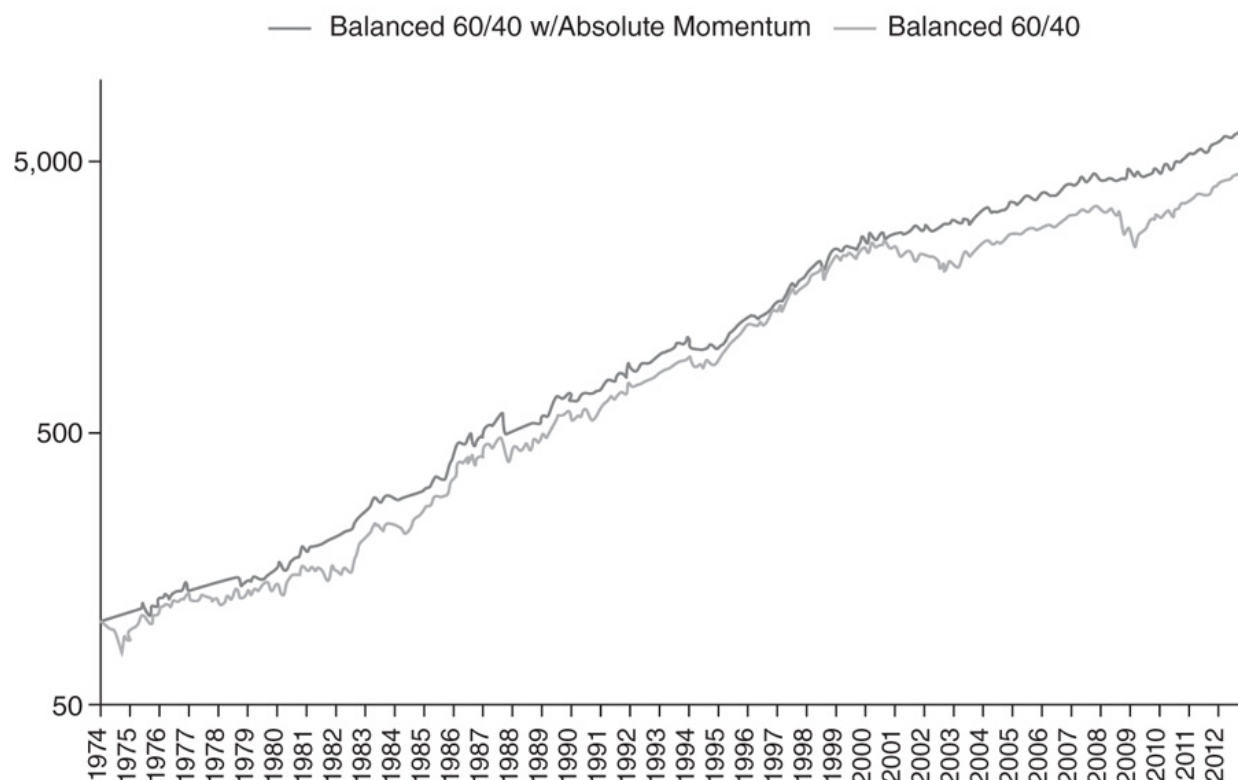


Figure B.15 60/40 Balanced Portfolios, 1974–2012

PARITY PORTFOLIOS

The usual way of dealing with the strong equities tilt of the 60/40 portfolio is to diversify more broadly and/or dedicate a larger allocation to fixed-income investments. Endowment funds, for example, often diversify into a number of specialized areas, such as private equity, hedge funds, and other higher-risk alternative investments. Some risk parity programs also diversify broadly. In addition, risk parity portfolios attempt to equalize the risk across different asset classes by allocating more capital to relatively lower-volatility assets, like fixed income. A stock/bond portfolio, for example, would require at least a 70% allocation to bonds in order to have equal risk exposure from bonds and equities.

A common way to construct risk parity portfolios is to weight each asset's position size by the inverse of its volatility.⁵ This normalizes risk exposure across all asset classes. But there are several problems with that approach. First, one somehow has to determine the best look-back interval